INTRODUCTION

This Learning Module and the subsequent four Learning Modules explain the investment characteristics of specific alternative asset types, starting with private equity and private debt. The subsequent Learning Modules focus on real assets, natural resources, hedge funds, and digital assets. Each Learning Module introduces core characteristics, distinguishing features, and risk–return characteristics for the specific asset class. Alternative assets differ from the traditional asset classes—debt and equity—due to their unique return, risk, and information profiles and historically show low levels of correlation with debt and equity. Moreover, alternative assets often require highly specialized knowledge to select, manage, and divest these assets. Since these alternative assets are generally considered to be less liquid than traditional asset classes, understanding the valuation and return characteristics is a specialized skill.

Learning Module Overview

- Private equity is a form of private capital funding sourced from outside public markets through non-traditional sources, such as venture capital and leveraged buyout firms. It can be injected at various stages of business development, from initial idea to final transition to public company status.
- The duration of a private equity investment also varies, with funds conducting their exits typically by the strategies of trade sales to strategic buyers or public listings through IPOs or special acquisition companies (SPACs). Other strategies include recapitalizations, secondary sales, and liquidations, with all the strategies having their unique advantages and drawbacks.
- Compared to traditional investments, private equity can offer better returns combined with higher risks. This contrast is a function of private equity's distinct choice set, greater management control, and greater leverage. Data ambiguities make it challenging to reliably measure the benefits of private equity investing.
- Private debt primarily refers to the various forms of debt provided by investors directly to private entities. Its four major categories are direct lending, mezzanine loans, venture debt, and distressed debt, and it also includes unitranche debt of blended loans and other specialty loans.
- As in private equity investment, private debt can be arranged on a direct or indirect basis, with funds deployed over the corporate life cycle straight from an investor or intermediated through a fund. Investors receive interest payments and the return of principal after a designated term, with debt typically secured and having protections/covenants.
- Private debt has potentially higher returns and risks than traditional fixed income, with its investors needing specialized knowledge to adjust exposures for differences across company funding stages, debt structures, and underlying assets.
- Private debt and equity are distinct in terms of risks and performance from their public counterparts due to illiquidity and concentration risk and to the often-greater uncertainties of both their underlying businesses and the means to hedge away their risks. And a fundamental timing characteristic for private capital is its vintage year, with the valuation and economic environment at the origin of a private equity fund having a potentially substantial effect on realized results over the fund's set lifespan.

fund vintage years.

- Investments in private capital vary in terms of risk and return across the corporate capital structure hierarchy, with a diversified mix of private equity and debt investments potentially balancing private capital risks and returns. And when combined with public stocks and bonds, investments in private capital funds can add a moderate diversification benefit with opportunities for excess returns due to private capital's additional leverage, market, and liquidity risks.

Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

1. At the conclusion of a public company's leveraged buyout, the amount of its market-traded stock is substantially:

A. reduced.
B. increased.
C. unaffected.

Hide Solution

Solution:

A is correct. After the transaction, the target company becomes or remains a privately owned company. Leveraged buyouts are sometimes called "going-private" transactions because after the acquisition of a publicly traded company, the target company's equity is substantially no longer publicly traded.

2. Which of the following financing tools would *most likely* be used at the later stage of venture capital investment?

A. Common stock
B. Preferred stock
C. Convertible debt

Hide Solution

Solution:

B is correct. Preferred stock can be deployed as late into a company's maturity as later-stage venture capital, when preferred stock can offer more protection to venture investors as a company transitions toward an IPO. A and C are incorrect because these instruments are more typically used in the earlier pre-seed and seed stages.

3. Which of the following transaction features is associated with mezzanine debt?

A. Warrants
B. Lines of credit
C. Fixed payment schedules

Hide Solution

Solution:

A is correct. Mezzanine debt often comes with additional features, such as warrants or conversion rights. These provide equity participation to lenders/investors. B is incorrect because lines of credit are associated with venture debt, which entrepreneurs may seek to obtain additional financing without further diluting shareholder ownership. C is incorrect because fixed

4. In using private debt for a syndicated leveraged mortgage portfolio, the financial ratio of loan to value (LTV) is important at:

A. origination and to the real estate fund sponsor.
B. syndication and to the private debt fund lender.
C. both transaction phases and to each of the parties.

Hide Solution

Solution:

C is correct. LTV plays a significant role in both legs of this transaction. For a sponsor to be able to borrow and for a lender to be able syndicate the loans, the aggregate LTV ratio cannot be breached, and any deviation from LTV on an individual property level needs to be cured. As the loan amortizes, its outstanding principal declines, decreasing LTV. However, if the value of the real estate were to drop, then the sponsor will be required to raise additional collateral to maintain the LTV level.

5. Vintage diversification is an advisable policy for implementation by private capital:

A. funds.
B. investors.
C. users, such as company managers.

Hide Solution

Solution:

B is correct. The vintage year, the time when fund deployment begins, is important for comparing PE and VC investments with other funds in the same year. Because of changing business and valuation environments, funds of a certain vintage have a relative advantage based on their start-up timing. That is why investors are encouraged to pursue vintage diversification by investing in multiple vintage years. A is incorrect because once capital commitments from a fund begin, all subsequent transactions are classified as part of the same vintage year. C is incorrect because the terms and conditions of capital use are more a function of the circumstances of their company than of the origin point of their fund source.

6. The potential diversification benefits from private capital investment are *most likely* related to its:

A. wide range of exit strategies.
B. various types of fee structures.
C. lower correlation with public asset returns.

Hide Solution

Solution:

C is correct. Investments in private capital funds can add a moderate diversification benefit to a portfolio of publicly traded stocks and bonds. Correlations with public market indexes vary from 0.63 to 0.83. A is incorrect because different exit strategies can offer funds the opportunity to maximize returns but do not necessarily reduce the volatility of returns over time. B is incorrect because while different fee structures may more effectively align the interests of funds and their investors, they do not necessarily change the risks of the underlying investments.

Discuss Filter

No messages to display

© 2025 CFA Institute. All Rights Reserved.

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search